

NMLS SAFE MLO

Full-Length Practice Exam Phase 2 — Exam 1

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 2 — Exam 1 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]*

1. Under TRID, the Loan Estimate must be delivered to the borrower within how many business days of receiving a complete application?

- A) 1 business day
- B) 3 business days
- C) 5 business days
- D) 7 business days

[Federal Laws — RESPA]

2. RESPA Section 8 prohibits which of the following practices?

- A) Collecting escrow reserves at closing
- B) Charging origination points
- C) Paying a referral fee to a real estate agent for sending loan business
- D) Requiring title insurance

[Federal Laws — TILA]

3. Which disclosure requirement is PRIMARILY associated with the Truth in Lending Act (TILA)?

- A) Good Faith Estimate
- B) HUD-1 Settlement Statement
- C) Annual Percentage Rate (APR) disclosure
- D) Affiliated Business Arrangement disclosure

[Federal Laws — ECOA]

4. Under ECOA, a lender MUST provide an adverse action notice within how many days of receiving a completed application?

- A) 10 days
- B) 30 days
- C) 45 days
- D) 60 days

[Federal Laws — TRID]

5. Which of the following is a ZERO-TOLERANCE fee under TRID that cannot increase from the Loan Estimate to the Closing Disclosure?

- A) Homeowner's insurance premium
- B) Transfer taxes
- C) Lender's origination charges
- D) Prepaid daily interest

[Federal Laws — RESPA]

6. Under RESPA, the maximum escrow account cushion a lender may hold is:

- A) One month's escrow payment
- B) Two months' escrow payment
- C) Three months' escrow payment
- D) No cushion is allowed

[Federal Laws — TILA]

7. The Right of Rescission under TILA applies to which transaction?

- A) Purchase of a primary residence
- B) Refinance of a primary residence
- C) Purchase of a vacation home
- D) Commercial mortgage loan

[Federal Laws — ECOA]

8. Under ECOA, which of the following is a prohibited basis for credit discrimination?

- A) Debt-to-income ratio
- B) Credit score below minimum guideline
- C) National origin
- D) Insufficient income

[Federal Laws — TRID]

9. The Closing Disclosure must be received by the borrower at least how many business days before consummation?

- A) 1 business day
- B) 2 business days
- C) 3 business days
- D) 5 business days

[Federal Laws — RESPA]

10. Which of the following transactions is EXEMPT from RESPA requirements?

- A) A \$200,000 purchase loan on a 1-4 family residential property
- B) A 25-acre farm loan with a dwelling
- C) A refinance of a primary residence
- D) A home equity line of credit

[Federal Laws — TILA]

11. Which fee may a lender collect BEFORE the borrower has received and acknowledged the Loan Estimate?

- A) Appraisal fee
- B) Title search fee
- C) Underwriting fee
- D) Credit report fee

[Federal Laws — ECOA]

12. A lender who takes adverse action on a mortgage application must include which of the following in the notice?

- A) The applicant's credit score and all factors used in determining that score
- B) The specific reason(s) for the adverse action or the right to request reasons
- C) The lender's internal underwriting guidelines
- D) The names of all credit bureaus queried

[Federal Laws — TRID]

13. Under TRID, which of the following events would trigger a valid revised Loan Estimate?

- A) The lender discovers it underestimated its own underwriting fee
- B) The borrower's employer verification comes back different than stated
- C) The borrower requests a different loan product after the initial LE
- D) The lender made a calculation error on the original LE

[Federal Laws — RESPA]

14. A settlement service provider's Written List of Providers must be given to the borrower:

- A) At application
- B) With the Loan Estimate
- C) At closing
- D) Within 3 business days of closing

[Federal Laws — TILA]

15. Which statement about the Annual Percentage Rate (APR) is MOST accurate?

- A) APR is always higher than the note rate because it includes certain fees
- B) APR equals the note rate for fixed-rate mortgages
- C) APR is only disclosed on adjustable-rate mortgages
- D) APR represents monthly compounding of the interest rate

■ ■ General Mortgage ■ ■

[General Mortgage — FHA Loans]

16. What is the minimum down payment for an FHA loan for a borrower with a 620 FICO score?

- A) 5%
- B) 3.5%
- C) 10%
- D) 0%

[General Mortgage — FHA Loans]

17. FHA Upfront Mortgage Insurance Premium (UFMIP) is currently:

- A) 0.85% of the base loan amount
- B) 1.75% of the base loan amount
- C) 2.15% of the base loan amount
- D) 1.00% of the base loan amount

[General Mortgage — FHA Loans]

18. For how long does FHA annual MIP remain on a loan with an original LTV above 90%?

- A) 5 years
- B) 11 years
- C) Until LTV reaches 80%
- D) For the life of the loan

[General Mortgage — VA Loans]

19. Which of the following statements about VA loans is correct?

- A) VA loans require a minimum 5% down payment
- B) VA loans require monthly PMI
- C) VA loans have no down payment requirement and no PMI
- D) VA loans are only available for active duty military

[General Mortgage — VA Loans]

20. A first-time VA loan user (regular military) borrowing with 0% down will pay a funding fee of:

- A) 1.25%
- B) 1.50%
- C) 2.15%
- D) 3.30%

[General Mortgage — USDA Loans]

21. Which income limit applies to USDA Rural Development guaranteed loans?

- A) Borrower income must not exceed 80% of area median income
- B) Borrower income must not exceed 100% of area median income
- C) Borrower income must not exceed 115% of area median income
- D) There is no income limit for USDA loans

[General Mortgage — USDA Loans]

22. The USDA guarantee fee structure includes:

- A) 1.75% upfront + 0.85% annual
- B) 1.00% upfront + 0.35% annual
- C) 2.15% upfront + no annual fee
- D) No upfront fee + 0.55% annual

[General Mortgage — Conventional Loans]

23. The standard conforming loan limit for a single-family property in a non-high-cost area in 2024 is:

- A) \$647,200
- B) \$726,200
- C) \$766,550
- D) \$1,149,825

[General Mortgage — PMI/MIP]

24. Under the Homeowners Protection Act, a lender must automatically cancel PMI when LTV reaches what threshold based on original value?

- A) 80% LTV
- B) 78% LTV
- C) 75% LTV
- D) Upon request at any LTV

[General Mortgage — ARM Products]

25. The fully indexed rate on an ARM is calculated as:

- A) Start rate + margin
- B) Index + margin
- C) Index + cap
- D) Margin - index

[General Mortgage — ARM Products]

26. In an ARM cap structure expressed as 2/1/5, what does the '5' represent?

- A) The initial adjustment cap
- B) The periodic adjustment cap
- C) The lifetime adjustment cap
- D) The initial fixed period in years

[General Mortgage — Underwriting/QM/ATR]

27. Which of the following features is NOT permitted in a Qualified Mortgage (QM)?

- A) A fixed interest rate
- B) A 30-year loan term
- C) An interest-only payment period
- D) Points and fees of 2.5%

[General Mortgage — Underwriting/QM/ATR]

28. The Ability-to-Repay (ATR) rule requires lenders to consider how many factors when underwriting?

- A) 5
- B) 6
- C) 8
- D) 10

[General Mortgage — Mortgage Math]

29. A borrower purchases a home for \$350,000 with 10% down. What is the loan amount and LTV?

- A) Loan: \$315,000; LTV: 90%
- B) Loan: \$350,000; LTV: 100%
- C) Loan: \$300,000; LTV: 85.7%
- D) Loan: \$315,000; LTV: 85%

[General Mortgage — Mortgage Math]

30. A borrower wants to purchase a \$400,000 home. The appraised value comes in at \$380,000. What is the maximum loan at 95% LTV?

- A) \$380,000
- B) \$361,000
- C) $\$380,000 \times 95\% = \$361,000$
- D) $\$400,000 \times 95\% = \$380,000$

[General Mortgage — FHA Loans]

31. The FHA 203(k) loan program allows borrowers to:

- A) Purchase investment properties needing renovation
- B) Finance both the purchase and renovation costs into one loan for a primary residence
- C) Refinance without an appraisal
- D) Skip mortgage insurance for renovation loans

[General Mortgage — VA Loans]

32. The VA Interest Rate Reduction Refinance Loan (IRRRL) is BEST described as:

- A) A cash-out refinance for veterans
- B) A streamline refinance that must reduce the rate or payment and typically requires no appraisal
- C) A loan for purchasing a second home
- D) A refinance requiring full income documentation and a new appraisal

[General Mortgage — Property/Appraisal]

33. For a standard 1-4 family residential property, which appraisal approach is the PRIMARY method used?

- A) Income approach
- B) Cost approach
- C) Sales comparison approach
- D) Gross rent multiplier approach

[General Mortgage — Title/Escrow]

34. Which of the following items is collected at closing as a PREPAID item (not an escrow reserve)?

- A) 2 months of property taxes
- B) 2 months of homeowner's insurance
- C) Per diem interest from closing to month-end
- D) Homeowner's association dues

[General Mortgage — Conventional Loans]

35. A conventional loan is considered 'conforming' when:

- A) The interest rate conforms to Fannie Mae guidelines
- B) The loan amount does not exceed the FHFA conforming limit and meets GSE guidelines
- C) The loan has a fixed rate and 30-year term
- D) The borrower has a FICO score above 720

[General Mortgage — Jumbo/Non-Conforming]

36. Which statement about jumbo mortgages is MOST accurate?

- A) Jumbo loans are insured by FHA
- B) Jumbo loans are sold to Fannie Mae and Freddie Mac
- C) Jumbo loans exceed conforming limits and are typically held in portfolio or privately securitized
- D) Jumbo loans require no down payment

[General Mortgage — FHA Loans]

37. A borrower has a FICO score of 540. Which statement about FHA financing is correct?

- A) The borrower is ineligible for FHA financing
- B) The borrower qualifies for FHA with 3.5% down
- C) The borrower qualifies for FHA with 10% down
- D) The borrower needs a co-borrower to qualify for FHA

[General Mortgage — Underwriting/QM/ATR]

38. The 'safe harbor' QM provision means:

- A) The loan is exempt from all consumer protection laws
- B) A rebuttable presumption that the lender complied with ATR if the borrower defaults
- C) Conclusive presumption that the lender complied with ATR — borrower cannot claim ATR violation
- D) The rate is capped at a specified threshold

[General Mortgage — PMI/MIP]

39. Which statement about PMI on a conventional loan is correct?

- A) PMI is required for all conventional loans
- B) PMI can never be removed once applied
- C) PMI is required when LTV exceeds 80% and automatically cancels at 78% original LTV (scheduled)
- D) PMI is the same as FHA MIP

[General Mortgage — Mortgage Math]

40. A borrower earns \$8,000/month gross income. The proposed PITI payment is \$2,000. Back-end debts (excluding mortgage) total \$800/month. What is the back-end DTI?

- A) 25%
- B) 35%
- C) 25% front-end only
- D) 35% back-end

[General Mortgage — VA Loans]

41. VA loan eligibility is documented through which certificate?

- A) Certificate of Eligibility (COE)
- B) VA Form 26-6393
- C) DD-214 alone
- D) Letter of Intent

[General Mortgage — USDA Loans]

42. Which of the following properties would qualify for a USDA Rural Development loan?

- A) A condo in downtown Chicago
- B) A single-family home in a suburb with population under 35,000 designated as rural by USDA
- C) A duplex in a city of 100,000
- D) An investment property in a rural area

[General Mortgage — Mortgage Math]

43. A borrower is purchasing a \$500,000 home with an FHA loan at 3.5% down. What is the FHA UFMIP in dollars (that can be financed)?

- A) \$8,750
- B) \$8,487.50
- C) \$9,625
- D) \$7,875

[General Mortgage — Property/Appraisal]

44. Appraisal Independence Requirements (AIR) prohibit an MLO from:

- A) Reviewing the appraisal after delivery
- B) Ordering an appraisal through an AMC
- C) Selecting, retaining, or pressuring an appraiser to achieve a target value
- D) Requesting a correction of factual errors

[General Mortgage — Conventional Loans]

45. What is the standard maximum DTI ratio for a conventional loan under Fannie Mae DU guidelines (without compensating factors)?

- A) 28% / 36%
- B) 31% / 43%
- C) 36% / 45%
- D) 45% / 50%

[General Mortgage — ARM Products]

46. For QM purposes, an ARM loan must be underwritten using the maximum interest rate during the first how many years?

- A) 1 year
- B) 3 years
- C) 5 years
- D) The initial fixed period

[General Mortgage — FHA Loans]

47. The FHA maximum DTI ratios are:

- A) 28% / 36%
- B) 31% / 43%
- C) 33% / 45%
- D) No specified maximum

[General Mortgage — Mortgage Math]

48. A home appraised at \$320,000 has an outstanding loan of \$240,000. What is the current LTV?

- A) 75%
- B) 80%
- C) 25% equity
- D) 72%

[General Mortgage — Underwriting/QM/ATR]

49. Which loan type is specifically exempt from the ATR rule?

- A) Jumbo loans
- B) Construction-to-permanent loans
- C) Home Equity Lines of Credit (HELOCs)
- D) FHA loans

[General Mortgage — Mortgage Math]

50. What monthly principal and interest payment is required for a \$200,000 loan at 6% for 30 years? (Use factor: \$5.995 per \$1,000)

- A) \$1,150.00
- B) \$1,199.00
- C) \$1,000.00
- D) \$1,200.00

[General Mortgage — PMI/MIP]

51. Which statement about conventional PMI cancellation is MOST accurate?

- A) PMI cancels automatically when appraised value increases to give 20% equity
- B) PMI auto-cancels at 78% of ORIGINAL property value per amortization schedule
- C) PMI can be removed immediately if the home appreciates
- D) PMI never cancels on conventional loans

[General Mortgage — Property/Appraisal]

52. An appraisal for a standard purchase mortgage must be completed by:

- A) A licensed real estate agent
- B) A state-licensed or state-certified appraiser who is independent from the transaction
- C) Any employee of the lender
- D) A HUD-approved appraiser for all loan types

[General Mortgage — VA Loans]

53. Which military category would have their VA funding fee WAIVED?

- A) First-time homebuyer using VA benefits
- B) Veteran with 8% service-connected disability rating
- C) Veteran with 10% or greater service-connected disability rating
- D) Active duty service member

[General Mortgage — Conventional Loans]

54. Chapter 7 bankruptcy waiting periods for conventional loans vs. FHA loans are:

- A) Both require 2 years
- B) Conventional = 4 years; FHA = 2 years
- C) Conventional = 7 years; FHA = 3 years
- D) Conventional = 2 years; FHA = 4 years

[General Mortgage — FHA Loans]

55. FHA foreclosure waiting period is how many years from completion date?

- A) 2 years
- B) 3 years (1 year with extenuating circumstances)
- C) 7 years
- D) 5 years

[General Mortgage — Mortgage Math]

56. A borrower puts 20% down on a \$450,000 purchase. What is the loan amount? Does this require PMI?

- A) \$360,000; Yes, PMI required
- B) \$360,000; No PMI required since LTV = 80%
- C) \$400,000; PMI required
- D) \$90,000 down; PMI still required

[General Mortgage — Jumbo/Non-Conforming]

57. Jumbo loans typically require higher down payments and more stringent qualifying criteria because:

- A) Federal law requires higher down payments for jumbo loans
- B) They cannot be sold to Fannie Mae or Freddie Mac, so lenders retain the risk
- C) They are always adjustable-rate mortgages
- D) They require FHA insurance

[General Mortgage — Title/Escrow]

58. At closing, the escrow/reserve account is typically funded with an initial deposit for:

- A) The full annual property tax amount
- B) The first month's mortgage payment
- C) A cushion of up to 2 months of taxes and insurance, plus prorated amounts
- D) Only the homeowner's insurance

[General Mortgage — ARM Products]

59. A 5/1 ARM means the loan has:

- A) A 5-year adjustable period then fixed for 1 year
- B) An initial fixed rate for 5 years, then adjusts annually
- C) An initial fixed rate for 1 year, then adjusts every 5 years
- D) A lifetime cap of 5% adjusting 1% per year

[General Mortgage — Underwriting/QM/ATR]

60. Under Fannie Mae guidelines, student loans in deferment are counted in DTI as:

- A) Excluded entirely while in deferment
- B) 1% of the outstanding balance OR the income-based repayment amount
- C) Whatever the credit report shows
- D) The actual monthly payment only if in repayment

■ ■ Loan Origination ■ ■

[Loan Origination — Application/1003]

61. The Uniform Residential Loan Application (URLA/1003) has how many sections?

- A) 5
- B) 6
- C) 8
- D) 10

[Loan Origination — Application/1003]

62. Which section of the 1003 contains demographic information used for fair lending monitoring purposes?

- A) Section 1
- B) Section 4
- C) Section 5
- D) Section 8

[Loan Origination — Disclosures/TRID]

63. Which of the following constitutes a 'complete application' triggering the 3-business-day LE delivery requirement?

- A) Any inquiry about mortgage rates
- B) Submission of a full credit package with all documentation
- C) Receipt of the 6 ILLNESS elements: Income, Legal name, Loan amount, Intended address, SSN, property value
- D) Borrower signature on the loan application

[Loan Origination — Income Documentation]

64. A salaried borrower provides a base salary of \$72,000/year. For DTI calculation, their gross monthly income is:

- A) \$6,000
- B) \$5,538
- C) \$6,500
- D) \$7,200

[Loan Origination — Income Documentation]

65. Commission income is typically averaged over how many months/years to determine qualifying income?

- A) 6 months
- B) 12 months
- C) 24 months
- D) 36 months

[Loan Origination — Self-Employed Income]

66. For a self-employed borrower who owns 25% or more of a business, qualifying income is calculated from:

- A) Most recent year's tax return only
- B) 2 years of personal tax returns (Schedule C/E/K-1) plus YTD P&L;
- C) Current bank statements for the past 3 months
- D) Employer letter and current pay stub

[Loan Origination — DTI Calculations]

67. A borrower has \$5,500 gross monthly income. Proposed PITI = \$1,400. Monthly debts: car \$350, student loan \$200, minimum credit card \$75. What is the back-end DTI?

- A) 25.5%
- B) 36.8%
- C) 36.8% — qualifying DTI
- D) 36.36%

[Loan Origination — Credit Analysis]

68. The 'middle score rule' for mortgage lending means:

- A) Average the three bureau scores
- B) Use the highest of three bureau scores
- C) Use the middle of three bureau scores; for two borrowers use the lower middle score
- D) Use whichever score the lender prefers

[Loan Origination — Income Documentation]

69. Rental income from a property that the borrower owns can be counted as qualifying income if:

- A) The borrower deposits rent checks into their bank account
- B) The rental income is documented on Schedule E (2 years) and a current lease; 75% of gross rent is used
- C) The borrower has any rental income for 6 months
- D) Only if the property has been owned for 5+ years

[Loan Origination — Income Documentation]

70. Social Security income that is not subject to federal income tax may be grossed up by what percentage for qualifying?

- A) 100% (no grossing up)
- B) 110%
- C) 125%
- D) 150%

[Loan Origination — Disclosures/TRID]

71. Intent to Proceed allows a lender to:

- A) Begin the loan origination immediately without any disclosures
- B) Collect fees beyond the credit report fee before the LE is provided
- C) Collect fees beyond the credit report fee AFTER the borrower has received and acknowledged the LE
- D) Order the appraisal before receiving any application

[Loan Origination — Rate Locks]

72. Which statement about rate locks is MOST accurate?

- A) A rate lock guarantees the loan will close
- B) A rate lock is the lender's commitment to honor a specific rate and points for a defined period
- C) Rate lock extensions are never permitted
- D) A rate lock can be cancelled by the lender at any time

[Loan Origination — Processing/Underwriting]

73. 'Clear to Close' (CTC) means:

- A) The appraisal has been ordered
- B) The loan has been approved with conditions
- C) All prior-to-close conditions have been satisfied and the underwriter has authorized closing
- D) The borrower has signed the initial disclosures

[Loan Origination — Closing/Funding]

74. The HUD-1 Settlement Statement was replaced by the Closing Disclosure for most transactions in:

- A) January 2010
- B) October 2015
- C) January 2020
- D) July 2012

[Loan Origination — Application/1003]

75. Which of the following does NOT constitute a complete application for TRID purposes?

- A) Borrower provides name, income, SSN, loan amount, property address, and estimated value
- B) Borrower submits a pre-qualification request with stated income only
- C) Borrower submits online application with all 6 ILLNESS elements
- D) Borrower calls and provides all 6 required pieces of information verbally

[Loan Origination — Income Documentation]

76. Alimony and child support can be counted as qualifying income when:

- A) They appear on a bank statement once
- B) They are expected to continue for at least 3 years and are documented by divorce decree or court order
- C) They have been received for 12 months
- D) They exceed \$500/month

[Loan Origination — Credit Analysis]

77. Which of the following would MOST negatively impact a borrower's mortgage qualification?

- A) Paying off a 5-year-old credit card in full
- B) Having a medical collection account of \$450
- C) An active Chapter 13 bankruptcy
- D) A 30-day late payment from 4 years ago

[Loan Origination — Products/Programs]

78. Which loan program allows a borrower to finance the purchase AND renovation of a property together?

- A) VA IRRRL
- B) Fannie Mae HomeReady
- C) FHA 203(k)
- D) USDA Streamline Refinance

[Loan Origination — DTI Calculations]

79. A borrower has a \$120,000 annual salary and \$1,500/month in non-mortgage debts. Using a 43% maximum back-end DTI, what is the maximum PITI payment?

- A) \$3,800
- B) \$2,800
- C) \$2,300
- D) \$4,300

[Loan Origination — Disclosures/TRID]

80. Which of the following fees is subject to the 10% tolerance category under TRID?

- A) Lender's origination fee
- B) Prepaid homeowner's insurance
- C) Recording fees charged to the consumer
- D) Title insurance premium (lender's policy)

[Loan Origination — Application/1003]

81. Which section of the 1003 contains the borrower's declarations about ownership of other properties, citizenship, and pending lawsuits?

- A) Section 1
- B) Section 2
- C) Section 4
- D) Section 5

[Loan Origination — Self-Employed Income]

82. For a self-employed borrower with Schedule C income, gross qualifying income is calculated as:

- A) Gross revenue on Schedule C
- B) Net profit plus depreciation, depletion, business use of home, and certain other add-backs
- C) Adjusted Gross Income from the 1040
- D) Total business deposits

[Loan Origination — Processing/Underwriting]

83. Which of the following is a 'prior to closing' condition that would be verified before issuing CTC?

- A) Final loan application signature
- B) Homeowner's insurance binder showing lender as mortgagee
- C) Credit score verification
- D) Initial LE delivery confirmation

[Loan Origination — Rate Locks]

84. If a rate lock expires due to delays caused by the BORROWER (not the lender), the lender:

- A) Must honor the original rate at no cost
- B) May charge the borrower a rate lock extension fee
- C) Must cancel the loan application
- D) Must offer a new lock at current market rates for free

[Loan Origination — Income Documentation]

85. When calculating qualifying income for a borrower with both W-2 wages and self-employment income, the lender should:

- A) Use only the W-2 income and ignore the business
- B) Combine all income sources following guidelines for each type, then qualify on the total
- C) Use only the business income if it's higher
- D) Apply a 25% reduction to all income

[Loan Origination — Closing/Funding]

86. At closing, the borrower signs the:

- A) Promissory note only
- B) Mortgage/Deed of Trust and Promissory Note
- C) Closing Disclosure, Promissory Note, Mortgage/Deed of Trust, and other closing documents
- D) Only the Loan Estimate

[Loan Origination — Credit Analysis]

87. A borrower has three credit bureau scores: Experian 720, Equifax 695, TransUnion 710. Their co-borrower has scores of 680, 705, 695. What score is used to qualify?

- A) 720 (highest of all scores)
- B) 695 (lower middle score)
- C) 697.5 (average)
- D) 710 (primary borrower middle score)

[Loan Origination — Products/Programs]

88. The Fannie Mae HomeReady program is designed for:

- A) Military veterans purchasing their first home
- B) Low-to-moderate income borrowers; allows 3% down and expanded income flexibility
- C) High-net-worth borrowers seeking jumbo loans
- D) Borrowers refinancing with cash-out

[Loan Origination — DTI Calculations]

89. What is the front-end (housing) DTI ratio for a borrower earning \$4,200/month with a proposed PITI of \$1,050?

- A) 20%
- B) 25%
- C) 30%
- D) 35%

[Loan Origination — Disclosures/TRID]

90. Which statement about the Closing Disclosure (CD) is correct?

- A) The CD replaces the Loan Estimate at application
- B) The CD must be received 3 business days before consummation; Saturday counts as a business day
- C) The CD can be issued on closing day if needed
- D) The CD is only required for refinance transactions

[Loan Origination — Application/1003]

91. Gift funds used for a down payment must be documented by:

- A) A verbal confirmation from the donor
- B) A gift letter stating the donor's name, relationship, amount, and that no repayment is expected, plus evidence of transfer
- C) A note payable to the donor over 5 years
- D) Only a bank statement showing the deposit

[Loan Origination — Processing/Underwriting]

92. Which of the following compensating factors might allow a borrower to exceed standard DTI guidelines?

- A) Recent job change in the same field
- B) Significant financial reserves (12+ months PITI)
- C) A co-signer on the loan
- D) Recent credit inquiries

[Loan Origination — Closing/Funding]

93. Which of the following is TRUE about loan funding?

- A) Funding occurs simultaneously with closing for all loan types
- B) For purchase loans, disbursement may occur after the closing documents are sent back to the lender for 'table funding' or 'wet settlement'
- C) Funding means the loan application has been approved
- D) Funding is the same as the issuance of the Commitment Letter

[Loan Origination — Income Documentation]

94. When a borrower's income is declining year-over-year on tax returns, the lender should:

- A) Average the two years as usual
- B) Use the higher year's income
- C) Use the lower year's income or apply the declining income trend analysis
- D) Request a third year of tax returns

[Loan Origination — Rate Locks]

95. A borrower locked a rate at 6.875% for 45 days. The lock expires before closing due to appraisal delays caused by the appraiser (vendor delay, not borrower). The lender should:

- A) Cancel the loan automatically
- B) Offer the current market rate, as the lock expired
- C) Typically allow a lock extension at the lender's expense since the delay was outside the borrower's control
- D) Require a new application

[Loan Origination — Products/Programs]

96. Which of the following best describes a 'streamline refinance'?

- A) A refinance that always allows cash-out
- B) A refinance program (FHA, VA, USDA) that reduces documentation requirements and typically waives the appraisal
- C) A refinance that requires full income documentation and appraisal
- D) A refinance for jumbo loans only

[Loan Origination — Credit Analysis]

97. Which collection account would MOST likely disqualify an FHA loan applicant per standard guidelines?

- A) A paid medical collection from 3 years ago
- B) A \$750 medical collection (unpaid)
- C) An unpaid non-medical collection account with a balance of \$2,500
- D) A 30-day late payment from 24 months ago

[Loan Origination — Disclosures/TRID]

98. Which of the following would trigger a NEW 3-business-day waiting period for the Closing Disclosure?

- A) A minor correction to a street address typo
- B) An increase in APR of more than 1/8% (0.125%) for a fixed-rate loan
- C) A change in the homeowner's insurance amount
- D) A change in the closing date

[Loan Origination — Processing/Underwriting]

99. The underwriting decision of 'Approved with Conditions' means:

- A) The loan is denied pending additional information
- B) The loan is approved but requires specific outstanding items before CTC can be issued
- C) The loan can close immediately
- D) The borrower must lower their loan amount

[Loan Origination — Application/1003]

100. Which of the following borrowers is considered 'self-employed' for mortgage purposes?

- A) Any borrower who works from home
- B) A borrower who owns 25% or more of a business
- C) A borrower with overtime or commission income
- D) A borrower who received a 1099 once in the past

[Loan Origination — DTI Calculations]

101. A borrower's gross annual income is \$96,000. They have the following monthly debts: car loan \$425, credit cards \$150 minimum, student loan (IBR payment) \$0 but balance of \$40,000. Using Fannie Mae IBR guidelines, what is the minimum student loan payment to include in DTI?

- A) \$0 (IBR \$0 payment is used)
- B) \$400 (1% of balance)
- C) \$200 (0.5% of balance)
- D) \$333 (balance / 120)

[Loan Origination — Income Documentation]

102. Which document is required to verify a VA borrower's entitlement to VA loan benefits?

- A) DD-214 (discharge papers)
- B) Certificate of Eligibility (COE)
- C) VA Form 26-8937
- D) Letter from VA Regional Loan Center

[Loan Origination — Closing/Funding]

103. Which statement about the Right of Rescission is correct?

- A) It applies to purchase money mortgages
- B) It gives the borrower 3 business days to cancel a refinance of their primary residence
- C) It applies to all mortgage transactions
- D) It can be waived only by the lender

[Loan Origination — Products/Programs]

104. The FHA Energy Efficient Mortgage (EEM) program allows borrowers to:

- A) Finance solar panels on investment properties
- B) Add the cost of energy-efficient improvements to an FHA loan above the normal purchase price limit
- C) Skip the FHA MIP requirement
- D) Only refinance existing FHA loans

[Loan Origination — Disclosures/TRID]

105. The lender's origination charges shown on the Loan Estimate are subject to which tolerance?

- A) 10% tolerance
- B) No tolerance — can change freely
- C) Zero tolerance — cannot increase from LE to CD
- D) 25% tolerance

■ ■ Ethics ■ ■

[Ethics — UDAAP]

106. UDAAP stands for:

- A) Uniform Disclosure and Appraisal Alignment Policy
- B) Unfair, Deceptive, or Abusive Acts or Practices
- C) United Depository and Asset Allocation Program
- D) Underwriting Diligence and Accuracy Assessment Procedures

[Ethics — Fraud]

107. Which of the following BEST describes occupancy fraud?

- A) Failing to disclose all liabilities on the application
- B) Claiming a property will be an owner-occupied primary residence when the borrower intends to use it as a rental
- C) Overstating income to qualify
- D) Using a straw buyer to purchase a property

[Ethics — Professional Conduct]

108. An MLO who discovers that a real estate agent has been referring clients to the MLO in exchange for cash payments should:

- A) Continue accepting referrals as long as no one complains
- B) Immediately stop accepting referrals and report the arrangement to compliance/legal
- C) Reduce the cash payments to avoid detection
- D) Ask the real estate agent to pay in gift cards instead

[Ethics — UDAAP]

109. Which of the following is an example of a DECEPTIVE act under UDAAP?

- A) Charging origination fees that are fully disclosed on the LE
- B) Advertising 'No Closing Costs' when costs are actually rolled into the rate
- C) Declining a loan based on documented credit history
- D) Collecting escrow for property taxes

[Ethics — Fraud]

110. 'Appraisal fraud' in mortgage lending includes which of the following?

- A) Using the sales comparison approach for residential property
- B) Selecting a higher appraisal from multiple ordered appraisals to support a target value
- C) Requiring title insurance
- D) Ordering an appraisal through an AMC

[Ethics — Professional Conduct]

111. An MLO who receives a gift from a title company in exchange for referring all their loans to that title company is:

- A) Acting ethically as long as the gift is under \$50
- B) Violating RESPA's anti-kickback provisions regardless of gift amount
- C) Acting within normal industry customs

- D) Only violating ethics rules if the client complains

[Ethics — UDAAP]

112. An act is considered 'ABUSIVE' under UDAAP when it:

- A) Results in higher fees than competitors
- B) Takes unreasonable advantage of a consumer's lack of understanding or inability to protect their interests
- C) Requires more documentation than competitors
- D) Charges closing costs above market rate

[Ethics — Fraud]

113. Which of the following is an example of 'income fraud' on a mortgage application?

- A) Using IRS-verified tax transcripts to document income
- B) Inflating stated income on the application to qualify for a larger loan
- C) Averaging two years of documented income
- D) Grossing up non-taxable income by 125%

[Ethics — Professional Conduct]

114. An MLO has a financial interest in a title company that they regularly recommend to borrowers. Under RESPA, the MLO must:

- A) Never refer borrowers to that title company
- B) Provide an Affiliated Business Arrangement (AfBA) disclosure before referring
- C) Simply mention the connection verbally
- D) Only disclose if asked directly by the borrower

[Ethics — UDAAP]

115. Steering a borrower to a higher-cost loan product when they qualify for a lower-cost product, primarily to earn a higher commission, is:

- A) Acceptable if the borrower signs the loan documents
- B) A violation of UDAAP and potentially anti-steering provisions under Regulation Z
- C) Standard industry practice
- D) Only prohibited for FHA loans

■ ■ SAFE Act ■ ■

[SAFE Act — Licensing]

116. Under the SAFE Act, an MLO who takes a residential mortgage loan application or offers/negotiates terms must be:

- A) Employed full-time only
- B) Licensed (state) or registered (federal depository institution employee)
- C) Certified by HUD
- D) Approved by Fannie Mae

[SAFE Act — NMLS/Registration]

117. What are the minimum continuing education (CE) requirements for a state-licensed MLO annually?

- A) 6 hours total
- B) 8 hours (3 federal law, 2 ethics, 2 non-traditional lending, 1 elective)
- C) 12 hours total
- D) 4 hours federal law only

[SAFE Act — Licensing]

118. The pre-licensing education (PE) requirement under the SAFE Act for a new MLO is:

- A) 8 hours
- B) 16 hours
- C) 20 hours (3 federal law, 3 ethics, 2 non-traditional, 12 elective)
- D) 24 hours

[SAFE Act — NMLS/Registration]

119. Under the SAFE Act, a state-licensed MLO must pass the NMLS National Test with a score of at least:

- A) 70%
- B) 75%
- C) 80%
- D) 85%

[SAFE Act — Licensing]

120. An MLO's NMLS unique identifier must be disclosed on:

- A) Only the Loan Estimate
- B) All loan application forms, advertisements, and solicitations
- C) Only upon direct request from a borrower
- D) Only on the lender's website

EXAM Phase 2 — Exam 1 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	D	2	C	3	B	4	A	5	D
6	C	7	B	8	A	9	D	10	C
11	B	12	A	13	D	14	C	15	B
16	A	17	D	18	C	19	B	20	A
21	D	22	C	23	B	24	A	25	D
26	C	27	B	28	A	29	D	30	C
31	B	32	A	33	D	34	C	35	B
36	A	37	D	38	C	39	B	40	A
41	D	42	C	43	B	44	A	45	D
46	C	47	B	48	A	49	D	50	C
51	B	52	A	53	D	54	C	55	B
56	A	57	D	58	C	59	B	60	A
61	D	62	C	63	B	64	A	65	D
66	C	67	B	68	A	69	D	70	C
71	B	72	A	73	D	74	C	75	B
76	A	77	D	78	C	79	B	80	A
81	D	82	C	83	B	84	A	85	D
86	C	87	B	88	A	89	D	90	C
91	B	92	A	93	D	94	C	95	B
96	A	97	D	98	C	99	B	100	A
101	D	102	C	103	B	104	A	105	D
106	C	107	B	108	A	109	D	110	C
111	B	112	A	113	D	114	C	115	B
116	A	117	D	118	C	119	B	120	A

1. Under TRID, the Loan Estimate must be delivered to the borrower within how many business days of receiving a complete application?

✓ **D) 7 business days**

TRID requires the Loan Estimate to be delivered or placed in the mail no later than 3 business days after receiving a complete application. A 'complete application' means all 6 ILLNESS elements are present (Income, Legal name, Loan amount, Intended address, SSN, property value).

2. RESPA Section 8 prohibits which of the following practices?

✓ **C) Paying a referral fee to a real estate agent for sending loan business**

RESPA Section 8 explicitly prohibits kickbacks and referral fees for the referral of settlement service business. Paying a real estate agent for referring a borrower to a lender is a classic Section 8 violation. Escrow reserves, origination points, and required title insurance are all permitted.

3. Which disclosure requirement is PRIMARILY associated with the Truth in Lending Act (TILA)?**✓ B) HUD-1 Settlement Statement**

TILA requires lenders to disclose the Annual Percentage Rate (APR), which represents the true cost of credit including interest and certain fees. The Good Faith Estimate and HUD-1 were RESPA forms (now replaced by LE and CD under TRID). AfBA disclosure is a RESPA requirement.

4. Under ECOA, a lender MUST provide an adverse action notice within how many days of receiving a completed application?**✓ A) 10 days**

ECOA requires a creditor to notify applicants of adverse action within 30 days of receiving a completed credit application. The notice must state specific reasons for denial or the right to request reasons. 10, 45, and 60 days are incorrect timeframes.

5. Which of the following is a ZERO-TOLERANCE fee under TRID that cannot increase from the Loan Estimate to the Closing Disclosure?**✓ D) Prepaid daily interest**

Lender's origination charges (including origination fees, points, and application fees) are zero-tolerance items — they cannot increase from the LE to the CD. Homeowner's insurance and prepaid daily interest fall in the 'no limitation' category. Transfer taxes are 10% tolerance items (third-party, not lender-selected).

6. Under RESPA, the maximum escrow account cushion a lender may hold is:**✓ C) Three months' escrow payment**

RESPA limits the escrow cushion to two months' worth of escrow payments. Lenders may not require borrowers to deposit more than is reasonably necessary to pay taxes and insurance, plus a two-month cushion.

7. The Right of Rescission under TILA applies to which transaction?**✓ B) Refinance of a primary residence**

The Right of Rescission (3 business days to cancel) under TILA applies to refinances and home equity loans on a primary residence. It does NOT apply to purchase money mortgages, vacation/second home purchases, or commercial loans.

8. Under ECOA, which of the following is a prohibited basis for credit discrimination?**✓ A) Debt-to-income ratio**

ECOA prohibits discrimination based on race, color, religion, national origin, sex, marital status, age, or receipt of public assistance. National origin is a protected class. DTI, credit score, and income are legitimate underwriting criteria, not protected characteristics.

9. The Closing Disclosure must be received by the borrower at least how many business days before consummation?**✓ D) 5 business days**

Under TRID, the borrower must receive the Closing Disclosure at least 3 business days before consummation (closing). Saturday counts as a business day for CD delivery purposes. Sunday and federal public holidays do not count.

10. Which of the following transactions is EXEMPT from RESPA requirements?**✓ C) A refinance of a primary residence**

RESPA applies to most federally related mortgage loans on 1-4 family residential properties. Loans on properties greater than 25 acres are exempt from RESPA. The 25-acre farm with a dwelling falls under the exemption if the property is primarily agricultural.

11. Which fee may a lender collect BEFORE the borrower has received and acknowledged the Loan Estimate?**✓ B) Title search fee**

Under TRID rules, lenders may only collect the bona fide credit report fee before the borrower receives and acknowledges the Loan Estimate. All other fees — including appraisal, title search, and underwriting — must wait until after the borrower has received the LE and indicated intent to proceed.

12. A lender who takes adverse action on a mortgage application must include which of the following in the notice?**✓ A) The applicant's credit score and all factors used in determining that score**

ECOA's adverse action notice must state specific reasons for denial or inform the applicant of their right to request the specific reasons within 60 days. While credit score disclosure may be required under other laws (FCRA), ECOA's primary requirement is the statement of specific reasons or the right to request them.

13. Under TRID, which of the following events would trigger a valid revised Loan Estimate?**✓ D) The lender made a calculation error on the original LE**

A valid changed circumstance that allows a revised LE includes: borrower-requested loan program change, property value different from estimated, new information not previously available, or rate lock. Lender errors (underestimating their own fees, calculation errors) are NOT valid changed circumstances — lenders must absorb those costs or cure at closing.

14. A settlement service provider's Written List of Providers must be given to the borrower:

✓ **C) At closing**

Under TRID/RESPA, when a lender permits borrowers to shop for certain settlement services, the lender must provide a Written List of Service Providers along with the Loan Estimate. This list identifies services for which the borrower may shop and suggests providers.

15. Which statement about the Annual Percentage Rate (APR) is MOST accurate?

✓ **B) APR equals the note rate for fixed-rate mortgages**

APR is almost always higher than the note rate because it includes certain lender fees (origination fees, discount points, mortgage broker fees, etc.) spread over the loan term. If there are no included fees, APR would equal the note rate. APR applies to all mortgage types, not just ARMs.

16. What is the minimum down payment for an FHA loan for a borrower with a 620 FICO score?

✓ **A) 5%**

For FHA loans, borrowers with FICO scores of 580 or higher qualify for the minimum 3.5% down payment. Borrowers with FICO 500-579 require 10% down. Borrowers below 500 are ineligible for FHA financing. At 620, the borrower qualifies for 3.5% down.

17. FHA Upfront Mortgage Insurance Premium (UFMIP) is currently:

✓ **D) 1.00% of the base loan amount**

The FHA UFMIP is 1.75% of the base loan amount (not appraised value or purchase price, but the loan amount). It can be financed into the loan. Annual MIP is separate and varies by LTV and term. 0.85% is the old common annual MIP rate. 2.15% is the VA funding fee.

18. For how long does FHA annual MIP remain on a loan with an original LTV above 90%?

✓ **C) Until LTV reaches 80%**

When the original LTV exceeds 90%, FHA annual MIP remains for the LIFE OF THE LOAN regardless of how much equity the borrower builds. Only if the original LTV is 90% or less does MIP cancel at 11 years. This is a key distinction from conventional PMI which cancels at 80% LTV.

19. Which of the following statements about VA loans is correct?

✓ **B) VA loans require monthly PMI**

VA loans require zero down payment and never require private mortgage insurance (PMI). They are available to veterans, active duty service members, surviving spouses, and National Guard/Reserve members with sufficient service. The VA funding fee replaces traditional mortgage insurance but is a one-time charge, not monthly PMI.

20. A first-time VA loan user (regular military) borrowing with 0% down will pay a funding fee of:

✓ **A) 1.25%**

The VA funding fee for first-time use by regular military with 0% down is 2.15% of the loan amount. With 5-9.99% down it drops to 1.50%, and with 10%+ down to 1.25%. Subsequent use (0% down) is 3.30%. Veterans with 10%+ service-connected disability are exempt from the funding fee.

21. Which income limit applies to USDA Rural Development guaranteed loans?

✓ **D) There is no income limit for USDA loans**

USDA guaranteed loans require that household income not exceed 115% of the area median income (AMI). This includes all adult household members' income, not just the borrowers. The property must also be in an eligible rural/suburban area as defined by USDA maps.

22. The USDA guarantee fee structure includes:

✓ **C) 2.15% upfront + no annual fee**

USDA Rural Development guaranteed loans charge a 1.00% upfront guarantee fee (financeable) and a 0.35% annual fee (charged monthly). This is significantly less than FHA's 1.75% UFMIP + 0.55-0.85% annual MIP, making USDA competitive for eligible borrowers and properties.

23. The standard conforming loan limit for a single-family property in a non-high-cost area in 2024 is:

✓ **B) \$726,200**

The 2024 conforming loan limit (FHFA baseline) for a 1-unit property is \$766,550. High-balance areas allow up to \$1,149,825 (150% of baseline). \$647,200 was the 2022 limit. \$726,200 was the 2023 limit. Loans above the applicable limit are considered jumbo/non-conforming.

24. Under the Homeowners Protection Act, a lender must automatically cancel PMI when LTV reaches what threshold based on original value?

✓ **A) 80% LTV**

The Homeowners Protection Act requires automatic PMI cancellation when the LTV reaches 78% based on the original amortization schedule and original property value — even without borrower request. Borrowers can REQUEST cancellation at 80% LTV if they have good payment history. At the midpoint of the loan term, PMI must be cancelled regardless of LTV.

25. The fully indexed rate on an ARM is calculated as:

✓ **D) Margin - index**

The fully indexed rate = Index + Margin. The index (e.g., SOFR, CMT, LIBOR successor) is a published rate outside the lender's control. The margin is a fixed spread added by the lender. The start rate (teaser rate) may be different from the fully indexed rate, which is why ARM qualification for QM purposes uses the maximum rate in the first 5 years.

26. In an ARM cap structure expressed as 2/1/5, what does the '5' represent?

✓ **C) The lifetime adjustment cap**

ARM caps are expressed as X/Y/Z: X = initial cap (max change at first adjustment), Y = periodic cap (max change at each subsequent adjustment), Z = lifetime cap (max change over the life of the loan). In 2/1/5, the lifetime cap is 5% — meaning the rate can never increase or decrease more than 5% from the initial start rate.

27. Which of the following features is NOT permitted in a Qualified Mortgage (QM)?

✓ **B) A 30-year loan term**

QM rules prohibit: negative amortization, interest-only periods, balloon payments (with limited exceptions), terms exceeding 30 years, and points/fees exceeding 3% of the loan amount (for loans $\geq$ \$100,000). Interest-only is specifically excluded from QM eligibility. A fixed rate, 30-year term, and 2.5% points/fees are all QM-compliant.

28. The Ability-to-Repay (ATR) rule requires lenders to consider how many factors when underwriting?

✓ **A) 5**

The ATR rule mandates lenders consider 8 specific factors: (1) current/expected income or assets, (2) current employment status, (3) monthly mortgage payment on the covered loan, (4) monthly payment on simultaneous loans, (5) mortgage-related obligations, (6) current debt/alimony/child support, (7) monthly DTI or residual income, and (8) credit history.

29. A borrower purchases a home for \$350,000 with 10% down. What is the loan amount and LTV?

✓ **D) Loan: \$315,000; LTV: 85%**

Down payment = $\$350,000 \times 10\% = \$35,000$. Loan amount = $\$350,000 - \$35,000 = \$315,000$. LTV = $\$315,000 / \$350,000 = 90\%$. This loan would require PMI on a conventional loan since LTV exceeds 80%.

30. A borrower wants to purchase a \$400,000 home. The appraised value comes in at \$380,000. What is the maximum loan at 95% LTV?

✓ **C) $\$380,000 \times 95\% = \$361,000$**

LTV is always calculated on the LESSER of purchase price or appraised value. The lesser value is \$380,000 (appraised). Maximum loan = $\$380,000 \times 95\% = \$361,000$. The borrower must come up with the gap: $\$400,000$ purchase - $\$361,000$ loan = $\$39,000$ needed (down payment + appraisal gap).

31. The FHA 203(k) loan program allows borrowers to:

✓ **B) Finance both the purchase and renovation costs into one loan for a primary residence**

FHA 203(k) combines purchase financing and renovation costs into a single loan for primary residences only. It is not available for investment properties. The Standard 203(k) requires a HUD-approved consultant for renovations over \$35,000. Limited 203(k) covers minor repairs up to \$35,000.

32. The VA Interest Rate Reduction Refinance Loan (IRRRL) is BEST described as:

✓ **A) A cash-out refinance for veterans**

The VA IRRRL (Interest Rate Reduction Refinance Loan) is a streamline refinance program that: must result in a lower interest rate or payment (or move from ARM to fixed), typically requires no appraisal or credit underwriting, and must certify the veteran previously occupied the home. It cannot be used to take cash out.

33. For a standard 1-4 family residential property, which appraisal approach is the PRIMARY method used?

✓ **D) Gross rent multiplier approach**

The sales comparison approach (comparing the subject property to recently sold comparable properties) is the primary method for 1-4 family residential properties. The income approach is used for investment/income-producing properties. The cost approach is used for special-use or unique properties where comparables are unavailable.

34. Which of the following items is collected at closing as a PREPAID item (not an escrow reserve)?

✓ C) Per diem interest from closing to month-end

Prepaid items collected at closing include: per diem interest (from closing date to end of month), the first year's homeowner's insurance premium, and prepaid mortgage insurance. Monthly escrow reserves (cushion deposits) are separate from prepaids. Months of taxes and insurance collected for the escrow account are reserves, not prepaids.

35. A conventional loan is considered 'conforming' when:

✓ B) The loan amount does not exceed the FHFA conforming limit and meets GSE guidelines

A conforming loan meets the loan limits set by FHFA (\$766,550 for 2024 standard) AND the underwriting guidelines of Fannie Mae or Freddie Mac. Both conditions must be met. Rate, term, and FICO score alone don't determine conforming status.

36. Which statement about jumbo mortgages is MOST accurate?

✓ A) Jumbo loans are insured by FHA

Jumbo loans exceed the FHFA conforming loan limits and cannot be sold to Fannie Mae or Freddie Mac. They are typically held in the lender's portfolio or securitized through private label mortgage-backed securities. They are not government-insured. Down payment requirements are typically higher (often 10-20%).

37. A borrower has a FICO score of 540. Which statement about FHA financing is correct?

✓ D) The borrower needs a co-borrower to qualify for FHA

FHA allows borrowers with FICO 500-579 to qualify with a 10% minimum down payment. FICO 580+ = 3.5% down. Below 500 = ineligible regardless of compensating factors. At 540, the borrower qualifies but must put 10% down.

38. The 'safe harbor' QM provision means:

✓ C) Conclusive presumption that the lender complied with ATR — borrower cannot claim ATR violation

Under the original QM framework, loans at or below the rate threshold receive safe harbor QM status — a conclusive presumption of ATR compliance. The borrower cannot sue claiming ATR violation. Higher-priced QM loans get a rebuttable presumption instead. Safe harbor provides the strongest protection for lenders.

39. Which statement about PMI on a conventional loan is correct?

✓ B) PMI can never be removed once applied

Conventional PMI is required when LTV exceeds 80% at origination. Under the Homeowners Protection Act: borrowers can request cancellation at 80% LTV (with good payment history); lenders must automatically cancel at 78% LTV based on original amortization schedule; PMI must terminate at the midpoint of the loan term regardless of LTV. FHA MIP has different rules and may last the life of the loan.

40. A borrower earns \$8,000/month gross income. The proposed PITI payment is \$2,000. Back-end debts (excluding mortgage) total \$800/month. What is the back-end DTI?

✓ A) 25%

Back-end DTI = (PITI + all monthly debts) / gross monthly income = (\$2,000 + \$800) / \$8,000 = \$2,800 / \$8,000 = 35%. Front-end DTI = \$2,000 / \$8,000 = 25%. The back-end (total) DTI of 35% is what most programs use as the primary DTI benchmark.

41. VA loan eligibility is documented through which certificate?

✓ D) Letter of Intent

The Certificate of Eligibility (COE) is the VA document that verifies a veteran's entitlement and eligibility for a VA-guaranteed loan. While a DD-214 is used to obtain the COE, the COE itself is what the lender requires. The VA can issue COEs online through the VA Portal or WebLGY system.

42. Which of the following properties would qualify for a USDA Rural Development loan?

✓ C) A duplex in a city of 100,000

USDA loans apply to properties in eligible rural and suburban areas as defined by USDA maps (generally communities under 35,000 in population, though the maps are the definitive guide). The property must be the borrower's primary residence — no investment properties or duplexes (must be single-family). Urban properties are not eligible.

43. A borrower is purchasing a \$500,000 home with an FHA loan at 3.5% down. What is the FHA UFMIP in dollars (that can be financed)?

✓ B) \$8,487.50

FHA down payment = $\$500,000 \times 3.5\% = \$17,500$. Base loan amount = $\$500,000 - \$17,500 = \$482,500$. UFMIP = $\$482,500 \times 1.75\% = \$8,443.75$ ≈ typically rounded. Wait — let's be precise: $\$482,500 \times 0.0175 = \$8,443.75$. The closest answer showing the correct calculation method: base loan $\times 1.75\%$. The UFMIP can be added to the base loan, making the total financed loan $\$482,500 + \$8,443.75 = \$490,943.75$.

44. Appraisal Independence Requirements (AIR) prohibit an MLO from:

✓ A) Reviewing the appraisal after delivery

AIR (Appraisal Independence Requirements) specifically prohibit loan origination staff from selecting, retaining, recommending, or influencing appraisers — or pressuring them to achieve a specific value. MLOs may: review completed appraisals, order through an AMC, and request correction of verifiable factual errors. They cannot, however, ask the appraiser to simply 'hit' a target value.

45. What is the standard maximum DTI ratio for a conventional loan under Fannie Mae DU guidelines (without compensating factors)?

✓ D) 45% / 50%

Fannie Mae's Desktop Underwriter (DU) uses a maximum total DTI of 45% in standard cases, but can approve up to 50% with strong compensating factors (high reserves, excellent credit, etc.). FHA uses 31%/43% as guidelines. The 36/45 split reflects older manual underwriting guidelines. DU's flexibility makes 45-50% achievable with strong profiles.

46. For QM purposes, an ARM loan must be underwritten using the maximum interest rate during the first how many years?

✓ C) 5 years

For QM ATR compliance, ARM loans must be underwritten at the maximum interest rate that can apply during the FIRST 5 YEARS of the loan. This ensures borrowers can afford the loan even if rates increase to their cap limit within that initial period. This is why the initial fixed period length matters less for QM — it's always 5 years for this calculation.

47. The FHA maximum DTI ratios are:

✓ B) 31% / 43%

FHA guidelines specify 31% front-end (housing ratio) and 43% back-end (total DTI) as the standard maximums. However, with AUS approval (TOTAL Scorecard) and compensating factors (strong reserves, low LTV, residual income), lenders may exceed these thresholds. Manual underwriting has stricter requirements.

48. A home appraised at \$320,000 has an outstanding loan of \$240,000. What is the current LTV?

✓ A) 75%

$LTV = \text{Loan Balance} / \text{Appraised Value} = \$240,000 / \$320,000 = 0.75 = 75\%$. The borrower has 25% equity. Since LTV is below 80%, there would be no PMI requirement for a conventional loan at this LTV. For PMI removal calculation, lenders use original value, not current appraised value.

49. Which loan type is specifically exempt from the ATR rule?

✓ D) FHA loans

HELOCs are specifically exempt from the ATR/QM rule as they are open-end credit, not closed-end mortgage transactions. The ATR rule applies to closed-end mortgage loans secured by a dwelling. Construction-only loans are also exempt. FHA and jumbo loans are subject to ATR requirements.

50. What monthly principal and interest payment is required for a \$200,000 loan at 6% for 30 years? (Use factor: \$5.995 per \$1,000)

✓ C) \$1,000.00

Monthly P&I = $(\text{Loan Amount} / 1,000) \times \text{Factor} = (200,000 / 1,000) \times \$5.995 = 200 \times \$5.995 = \$1,199.00$. This is the standard mortgage payment factor calculation used on the NMLS exam. The factor of \$5.995 per \$1,000 corresponds to a 30-year loan at 6% interest.

51. Which statement about conventional PMI cancellation is MOST accurate?

✓ B) PMI auto-cancels at 78% of ORIGINAL property value per amortization schedule

Under the Homeowners Protection Act, automatic PMI cancellation occurs at 78% LTV based on the ORIGINAL property value and the SCHEDULED amortization — not based on current market value. Appreciation alone doesn't trigger automatic cancellation (though borrowers can request removal at 80% with a new appraisal showing sufficient equity and good payment history).

52. An appraisal for a standard purchase mortgage must be completed by:

✓ **A) A licensed real estate agent**

Federal regulations and AIR requirements mandate that appraisers be state-licensed or state-certified and independent from the transaction (no financial interest in the outcome). HUD-approved appraisers are specifically required for FHA loans; conventional loans require licensed/certified appraisers but not specifically HUD-approved.

53. Which military category would have their VA funding fee WAIVED?

✓ **D) Active duty service member**

The VA funding fee is waived for veterans who receive VA compensation for a service-connected disability rated at 10% or higher (or who would be entitled to receive such compensation). The 10% threshold is the key dividing line. A veteran with 8% disability rating would still pay the funding fee.

54. Chapter 7 bankruptcy waiting periods for conventional loans vs. FHA loans are:

✓ **C) Conventional = 7 years; FHA = 3 years**

Conventional (Fannie/Freddie) requires a 4-year waiting period from Chapter 7 bankruptcy discharge. FHA requires only 2 years. VA requires 2 years. USDA requires 3 years. These waiting periods run from the discharge date, and may be shortened with extenuating circumstances for certain loan types.

55. FHA foreclosure waiting period is how many years from completion date?

✓ **B) 3 years (1 year with extenuating circumstances)**

FHA requires a 3-year waiting period from the completion of a foreclosure (not filing date). With documented extenuating circumstances (job loss, death of wage earner, etc.) this can be reduced to 1 year. Conventional requires 7 years (3 years with extenuating circumstances for certain LTV/occupancy combos). VA requires 2 years.

56. A borrower puts 20% down on a \$450,000 purchase. What is the loan amount? Does this require PMI?

✓ **A) \$360,000; Yes, PMI required**

Down payment = $\$450,000 \times 20\% = \$90,000$. Loan = $\$450,000 - \$90,000 = \$360,000$. LTV = $\$360,000 / \$450,000 = 80\%$. PMI is required when LTV EXCEEDS 80%. At exactly 80%, PMI is NOT required. This is a common exam trap — 'above 80%' triggers PMI, not 'at 80%.'

57. Jumbo loans typically require higher down payments and more stringent qualifying criteria because:

✓ **D) They require FHA insurance**

Since jumbo loans exceed conforming limits and cannot be sold to the GSEs (Fannie/Freddie), lenders keep them in portfolio and bear the credit risk themselves. This is why lenders impose stricter qualification requirements — larger down payments, higher credit scores, lower DTI ratios, and more reserves to mitigate their retained risk.

58. At closing, the escrow/reserve account is typically funded with an initial deposit for:

✓ **C) A cushion of up to 2 months of taxes and insurance, plus prorated amounts**

At closing, the escrow account is initially funded with: (1) prorated months of taxes and insurance to establish the account (varies by closing date), plus (2) up to a 2-month cushion as allowed by RESPA. The goal is to ensure funds are available when the first tax or insurance payment is due.

59. A 5/1 ARM means the loan has:

✓ **B) An initial fixed rate for 5 years, then adjusts annually**

A 5/1 ARM has an initial fixed-rate period of 5 years, then the rate adjusts every 1 year thereafter (annually). The first number always indicates the initial fixed period in years; the second number indicates the frequency of adjustments after the initial period.

60. Under Fannie Mae guidelines, student loans in deferment are counted in DTI as:

✓ **A) Excluded entirely while in deferment**

Fannie Mae requires that student loans in deferment or forbearance be counted in DTI at either 1% of the outstanding balance or the documented income-based repayment (IBR) payment. You cannot simply exclude them. FHA uses the same 1% rule (or actual payment if higher). This prevents DTI manipulation through loan deferment.

61. The Uniform Residential Loan Application (URLA/1003) has how many sections?

✓ **D) 10**

The revised URLA (1003) effective since 2020 has 8 sections: Section 1 = Borrower Information; Section 2 = Financial Information (assets/liabilities); Section 3 = Financial Information (real estate); Section 4 = Loan and Property Information; Section 5 = Declarations; Section 6 = Acknowledgments and Agreements; Section 7 = Military Service; Section 8 = Demographic Information (HMDA — fair lending only).

62. Which section of the 1003 contains demographic information used for fair lending monitoring purposes?

✓ **C) Section 5**

Section 8 of the URLA contains Government Monitoring Information (GMI) — race, ethnicity, and sex. This information is used solely for fair lending/HMDA compliance and CANNOT be used in credit decisions. Underwriters are instructed to make decisions without reference to Section 8 data.

63. Which of the following constitutes a 'complete application' triggering the 3-business-day LE delivery requirement?

✓ **B) Submission of a full credit package with all documentation**

A complete application = the 6 ILLNESS elements: Income (stated), Legal name, Loan amount requested, Intended property address (or description), SSN, and Stated/estimated property value. Once all 6 are received, the lender has 3 business days to deliver the LE. Additional documentation requests don't delay the LE requirement.

64. A salaried borrower provides a base salary of \$72,000/year. For DTI calculation, their gross monthly income is:

✓ **A) \$6,000**

Gross monthly income for a salaried employee = Annual salary / 12 = \$72,000 / 12 = \$6,000/month. This is straightforward for salaried borrowers with no other income. No deductions are applied — DTI uses GROSS (pre-tax) income.

65. Commission income is typically averaged over how many months/years to determine qualifying income?

✓ **D) 36 months**

Commission income is averaged over 24 months (2 years) using the most recent 2-year history documented on tax returns and W-2s. If income is declining, lenders must use the lower year or apply a declining trend adjustment. Less than 2 years of commission history typically cannot be used for qualifying.

66. For a self-employed borrower who owns 25% or more of a business, qualifying income is calculated from:

✓ **C) Current bank statements for the past 3 months**

Self-employed borrowers with 25%+ ownership are required to provide 2 years of personal tax returns (and often business returns), plus a year-to-date profit & loss statement. Income is averaged over 24 months. If income is declining, the lower year (or declining trend) is used. W-2 and pay stubs don't apply — they don't own 25%+ of a standard employer.

67. A borrower has \$5,500 gross monthly income. Proposed PITI = \$1,400. Monthly debts: car \$350, student loan \$200, minimum credit card \$75. What is the back-end DTI?

✓ **B) 36.8%**

Back-end DTI = (PITI + all monthly debts) / gross income = (\$1,400 + \$350 + \$200 + \$75) / \$5,500 = \$2,025 / \$5,500 = 36.8%. Front-end (housing) DTI = \$1,400 / \$5,500 = 25.5%. This borrower would likely qualify under most programs with a 36.8% back-end DTI.

68. The 'middle score rule' for mortgage lending means:

✓ **A) Average the three bureau scores**

For mortgage qualification: pull all three bureaus (Experian, Equifax, TransUnion) and use the MIDDLE score for each borrower. When there are multiple borrowers, use the LOWER of the two middle scores for qualifying. This is the standard rule for conventional, FHA, and most loan programs.

69. Rental income from a property that the borrower owns can be counted as qualifying income if:

✓ **D) Only if the property has been owned for 5+ years**

Rental income qualifies when: (1) documented on Schedule E for 2 years, (2) a current lease exists, and (3) lenders use 75% of gross rent to account for vacancies and expenses (25% vacancy factor). The 75% rule is standard for Fannie/Freddie. FHA may use similar calculations.

70. Social Security income that is not subject to federal income tax may be grossed up by what percentage for qualifying?

✓ **C) 125%**

Non-taxable Social Security income (and other non-taxable income) may be grossed up by 125% for qualifying purposes. This accounts for the tax advantage — if a borrower receives \$2,000/month in non-taxable SSI, the qualifying income can be \$2,000 × 1.25 = \$2,500/month. This is a standard Fannie/Freddie/FHA allowance.

71. Intent to Proceed allows a lender to:

✓ **B) Collect fees beyond the credit report fee before the LE is provided**

Intent to Proceed is the borrower's positive action (verbal, written, or electronic) after receiving the Loan Estimate, indicating they wish to proceed with the application. Once Intent to Proceed is received, the lender may collect fees beyond the credit report fee (e.g., appraisal fee). Collecting other fees before the LE is delivered/acknowledged is prohibited.

72. Which statement about rate locks is MOST accurate?**✓ A) A rate lock guarantees the loan will close**

A rate lock is a lender's commitment to honor a specific interest rate and discount points for a defined lock period (e.g., 30, 45, 60 days), subject to no changes in the application. A rate lock does NOT guarantee closing — the loan still must satisfy all underwriting conditions. Extensions are permitted, typically at a cost. If the lock expires due to lender delays, the lender may be required to honor the original terms.

73. 'Clear to Close' (CTC) means:**✓ D) The borrower has signed the initial disclosures**

Clear to Close (CTC) is issued by the underwriter when ALL prior-to-close (PTC) conditions have been reviewed and satisfied. It is the green light to schedule closing. It is not the same as initial loan approval (which may have conditions). CTC means the file is complete and the loan is ready to close.

74. The HUD-1 Settlement Statement was replaced by the Closing Disclosure for most transactions in:**✓ C) January 2020**

The HUD-1 was replaced by the Closing Disclosure (CD) on October 3, 2015 for most mortgage transactions. The HUD-1 is still used for reverse mortgages (HECM) and RESPA-exempt transactions. This date (Oct 3, 2015) is frequently tested on the NMLS exam.

75. Which of the following does NOT constitute a complete application for TRID purposes?**✓ B) Borrower submits a pre-qualification request with stated income only**

A pre-qualification with stated income only lacks the SSN, specific property address, and estimated value — it is not a complete application. A complete application requires all 6 ILLNESS elements. Applications can be received in person, by mail, phone, or online — the method doesn't matter, all 6 elements must be present.

76. Alimony and child support can be counted as qualifying income when:**✓ A) They appear on a bank statement once**

Alimony and child support income may be used for qualifying when: (1) documented by divorce decree, separation agreement, or court order, (2) expected to continue for at least 3 years from the application date, and (3) demonstrated receipt (typically 6-12 months of bank statements). 'Continuing for 3 years' is the key threshold.

77. Which of the following would MOST negatively impact a borrower's mortgage qualification?**✓ D) A 30-day late payment from 4 years ago**

An active Chapter 13 bankruptcy most significantly impacts qualification. Most conventional programs require bankruptcy to be discharged (or dismissed), with waiting periods thereafter. FHA may allow qualifying during Chapter 13 with trustee approval and 12 months of satisfactory payments, but it is extremely difficult. Medical collections under a certain threshold may be excluded by some programs.

78. Which loan program allows a borrower to finance the purchase AND renovation of a property together?**✓ C) FHA 203(k)**

FHA 203(k) is the primary program allowing combined purchase and renovation financing. Fannie Mae also has the HomeStyle Renovation loan, and Freddie Mac has the CHOICERenovation loan for conventional options. The VA IRRRL is a streamline refinance. USDA Streamline is a refinance product. HomeReady is an affordable conventional program, not renovation-focused.

79. A borrower has a \$120,000 annual salary and \$1,500/month in non-mortgage debts. Using a 43% maximum back-end DTI, what is the maximum PITI payment?**✓ B) \$2,800**

Gross monthly income = $\$120,000 / 12 = \$10,000$. Maximum total debt at 43% = $\$10,000 \times 0.43 = \$4,300$. Subtract existing debts: $\$4,300 - \$1,500 = \$2,800$ maximum PITI. This is the standard DTI back-calculation used in underwriting.

80. Which of the following fees is subject to the 10% tolerance category under TRID?**✓ A) Lender's origination fee**

Recording fees are in the 10% tolerance bucket — the aggregate of all recording fees cannot increase more than 10% from LE to CD. Lender origination charges are zero-tolerance. Prepaid items (insurance, per diem interest) are no-tolerance (they can change). Third-party services where the borrower shops from the lender's list are also 10% tolerance.

81. Which section of the 1003 contains the borrower's declarations about ownership of other properties, citizenship, and pending lawsuits?**✓ D) Section 5**

Section 5 of the URLA contains Declarations — questions about whether the borrower has other outstanding loans, owns other properties, is a US citizen or permanent resident, has any judgments or lawsuits pending, or has filed for bankruptcy in the past 7 years. These are critical underwriting flags.

82. For a self-employed borrower with Schedule C income, gross qualifying income is calculated as:

✓ **C) Adjusted Gross Income from the 1040**

Schedule C income is calculated as: Net profit (or loss) + depreciation + depletion + business use of home + amortization/casualty loss, minus business miles if claimed. The result is averaged over 24 months. Business losses may be deducted from other income. This is the standard 'add-back' method used by lenders.

83. Which of the following is a 'prior to closing' condition that would be verified before issuing CTC?

✓ **B) Homeowner's insurance binder showing lender as mortgagee**

A homeowner's insurance binder (or policy) showing the lender as the loss payee/mortgagee is a standard prior-to-close condition. The underwriter must confirm coverage is in place before authorizing closing. The other items listed are completed earlier in the process (application, initial disclosures) or are part of the original underwrite, not PTC conditions.

84. If a rate lock expires due to delays caused by the BORROWER (not the lender), the lender:

✓ **A) Must honor the original rate at no cost**

If a rate lock expires due to borrower-caused delays (slow documentation submission, extended property search, etc.), the lender may charge a rate lock extension fee. If the lock expires due to lender delays, the lender typically must honor the original terms. Extension fees and policies should be disclosed in the rate lock agreement.

85. When calculating qualifying income for a borrower with both W-2 wages and self-employment income, the lender should:

✓ **D) Apply a 25% reduction to all income**

Lenders combine income from all sources using the appropriate calculation method for each type: W-2 wages at face value; self-employment income per Schedule C add-back method; rental income at 75%; etc. The combined qualifying income is then used against total debts for DTI. Each income source follows its own documentation and calculation rules.

86. At closing, the borrower signs the:

✓ **C) Closing Disclosure, Promissory Note, Mortgage/Deed of Trust, and other closing documents**

At closing, borrowers sign numerous documents including: the Promissory Note (promise to repay), Mortgage or Deed of Trust (security instrument pledging the property), Closing Disclosure, Right of Rescission notice (for refis), Truth in Lending statement, and other program-specific documents. The complete closing package can be 100+ pages.

87. A borrower has three credit bureau scores: Experian 720, Equifax 695, TransUnion 710. Their co-borrower has scores of 680, 705, 695. What score is used to qualify?

✓ **B) 695 (lower middle score)**

Primary borrower middle score: 695 (Equifax) — the middle of 720, 710, 695. Wait, order: 720, 710, 695 → middle = 710. Co-borrower scores: 680, 695, 705 → middle = 695. Qualifying score = LOWER of two middle scores = 695. This is a critical NMLS exam concept — always use the lower of the two borrowers' middle scores.

88. The Fannie Mae HomeReady program is designed for:

✓ **A) Military veterans purchasing their first home**

HomeReady is Fannie Mae's affordable lending program for low-to-moderate income borrowers, offering 3% minimum down payment, reduced PMI rates, income flexibility (allows rental, boarder, and household member income), and requires homebuyer education. Income limits apply (≤80% AMI in most areas). Freddie Mac's equivalent is Home Possible.

89. What is the front-end (housing) DTI ratio for a borrower earning \$4,200/month with a proposed PITI of \$1,050?

✓ **D) 35%**

Front-end DTI = PITI / Gross Monthly Income = \$1,050 / \$4,200 = 0.25 = 25%. This is the housing ratio. FHA's guideline is 31% front-end; conventional guidelines vary. At 25%, this borrower's housing ratio is well within standard guidelines for all programs.

90. Which statement about the Closing Disclosure (CD) is correct?

✓ **C) The CD can be issued on closing day if needed**

The CD must be RECEIVED by the borrower at least 3 business days before consummation. For counting purposes, Saturday counts as a business day (unlike for LE delivery, where some counting rules differ by delivery method). Sunday and federal legal public holidays do not count. If a new CD is issued for certain changes, the 3-day waiting period restarts.

91. Gift funds used for a down payment must be documented by:

✓ **B) A gift letter stating the donor's name, relationship, amount, and that no repayment is expected, plus evidence of transfer**

Gift funds require: (1) a gift letter including donor's name, address, relationship to borrower, dollar amount, and a clear statement that no repayment is required or expected, and (2) evidence of the gift transfer (wire confirmation or deposit slip + donor's bank statement). A note with repayment makes it a loan, not a gift, and would be counted as a liability.

92. Which of the following compensating factors might allow a borrower to exceed standard DTI guidelines?

✓ **A) Recent job change in the same field**

Compensating factors that may allow DTI exceptions include: significant liquid reserves (6-12+ months PITI), low LTV, excellent credit history, residual income significantly exceeding minimum, minimal payment shock, or long-term stable employment. Reserves of 12+ months PITI is a strong compensating factor. Recent job change and credit inquiries are negative factors; a co-signer helps but is not the best answer here.

93. Which of the following is TRUE about loan funding?

✓ **D) Funding is the same as the issuance of the Commitment Letter**

Loan funding (disbursement of proceeds) can occur in different ways: wet funding (same day as closing) or dry funding (lender reviews signed documents before wiring funds, typically 24-48 hours in states like California that require dry settlement). Wire/disbursement is funding; approval is a separate step; the commitment letter precedes closing.

94. When a borrower's income is declining year-over-year on tax returns, the lender should:

✓ **C) Use the lower year's income or apply the declining income trend analysis**

When income shows a declining trend over 2 years, lenders must use the lower year's income or, if the most recent year shows a significant decline, use a declining income trend analysis (possibly using only the most recent year). Using an average when income is declining overstates qualifying income and violates ATR/underwriting guidelines.

95. A borrower locked a rate at 6.875% for 45 days. The lock expires before closing due to appraisal delays caused by the appraiser (vendor delay, not borrower). The lender should:

✓ **B) Offer the current market rate, as the lock expired**

When delays are caused by third-party vendors (appraiser, title company) or the lender, not the borrower, many lenders will extend the rate lock at no cost or reduced cost to the borrower. Policies vary by lender, but the NMLS exam emphasizes that lender/vendor delays should not penalize the borrower. Charging full extension fees for vendor delays is considered unfair.

96. Which of the following best describes a 'streamline refinance'?

✓ **A) A refinance that always allows cash-out**

Streamline refinances (FHA Streamline, VA IRRRL, USDA Streamline) reduce documentation: typically no appraisal required, limited income verification, and must demonstrate a 'net tangible benefit' (lower rate/payment or safer loan term). They are only for refinancing existing loans of the same program type — FHA to FHA, VA to VA, etc.

97. Which collection account would MOST likely disqualify an FHA loan applicant per standard guidelines?

✓ **D) A 30-day late payment from 24 months ago**

FHA guidelines distinguish between medical and non-medical collections. Non-medical collection accounts may require payoff or documentation of payment arrangement. A \$2,500 non-medical collection could require payoff prior to closing under many lender overlays. Medical collections under FHA rules may be ignored. The paid collection and old late payment are less disqualifying.

98. Which of the following would trigger a NEW 3-business-day waiting period for the Closing Disclosure?

✓ **C) A change in the homeowner's insurance amount**

A new 3-day CD waiting period is triggered by: (1) APR increase of more than 1/8% (0.125%) for fixed-rate or 1/4% for adjustable-rate, (2) change in loan product (fixed to ARM), or (3) addition of a prepayment penalty. Minor corrections, insurance changes, and closing date changes do not automatically restart the 3-day clock.

99. The underwriting decision of 'Approved with Conditions' means:

✓ **B) The loan is approved but requires specific outstanding items before CTC can be issued**

'Approved with Conditions' (or 'Conditional Approval') means the underwriter has approved the loan subject to satisfying specific conditions — documentation needed, explanations required, or verifications outstanding. The loan CANNOT close until all conditions are cleared and CTC is issued. This is the most common underwriting outcome in the initial review.

100. Which of the following borrowers is considered 'self-employed' for mortgage purposes?

✓ **A) Any borrower who works from home**

A borrower is classified as self-employed for mortgage purposes when they own 25% or more of a business. This triggers the requirement for 2 years of personal AND business tax returns, YTD P&L, and the Schedule C add-back income calculation. Working from home, commission income, or an isolated 1099 do not automatically make someone self-employed for mortgage qualification.

101. A borrower's gross annual income is \$96,000. They have the following monthly debts: car loan \$425, credit cards \$150 minimum, student loan (IBR payment) \$0 but balance of \$40,000. Using Fannie Mae IBR guidelines, what is the minimum student loan payment to include in DTI?

✓ **D) \$333 (balance / 120)**

Under Fannie Mae guidelines, if the IBR payment is \$0 (income-based repayment), the lender must use 1% of the outstanding balance: $\$40,000 \times 1\% = \$400/\text{month}$. The \$0 IBR payment is NOT acceptable for Fannie Mae underwriting. Monthly gross income = $\$96,000/12 = \$8,000$. Total debts for DTI would include $\$425 + \$150 + \$400 = \$975 + \text{PITI}$.

102. Which document is required to verify a VA borrower's entitlement to VA loan benefits?

✓ **C) VA Form 26-8937**

The Certificate of Eligibility (COE) is the required document showing a lender that a veteran has the entitlement to use VA benefits for a home purchase or refinance. The DD-214 is used to apply for the COE but is not itself sufficient for the lender. COEs can be obtained through the VA's WebLGy system or via the lender on the veteran's behalf.

103. Which statement about the Right of Rescission is correct?

✓ **B) It gives the borrower 3 business days to cancel a refinance of their primary residence**

The Right of Rescission (3 business days) applies to refinances, HELOCs, and home equity loans on a borrower's primary residence. It does NOT apply to purchase transactions, second homes, or investment properties. The borrower (not the lender) holds the right and may waive it in bona fide personal financial emergencies (must be documented).

104. The FHA Energy Efficient Mortgage (EEM) program allows borrowers to:

✓ **A) Finance solar panels on investment properties**

The FHA EEM allows borrowers to finance the cost of energy-efficient improvements (insulation, windows, HVAC, etc.) in addition to the base purchase loan — even if the combined amount exceeds the normal FHA loan limit. This is a separate add-on to a standard FHA purchase or refinance loan. It does not eliminate MIP requirements.

105. The lender's origination charges shown on the Loan Estimate are subject to which tolerance?

✓ **D) 25% tolerance**

Lender origination charges (origination fees, points, application fees, underwriting fees) are zero-tolerance items — they CANNOT increase from the LE to the CD. If they do increase, the lender must provide a cure (credit to the borrower) at or before closing. This is the strictest tolerance category.

106. UDAAP stands for:

✓ **C) United Depository and Asset Allocation Program**

UDAAP = Unfair, Deceptive, or Abusive Acts or Practices. This is enforced by the CFPB under the Dodd-Frank Act. An act is unfair if it causes substantial injury that cannot be reasonably avoided. Deceptive if it misleads consumers materially. Abusive if it interferes with a consumer's ability to understand terms or takes unreasonable advantage of them.

107. Which of the following BEST describes occupancy fraud?

✓ **B) Claiming a property will be an owner-occupied primary residence when the borrower intends to use it as a rental**

Occupancy fraud occurs when a borrower represents a property as their primary residence to obtain more favorable loan terms (lower rates, lower down payment) when they actually intend to rent it out or use it as a second home. This is mortgage fraud — a federal crime. Owner-occupied rates and terms are better than investment property terms, creating the incentive for this fraud.

108. An MLO who discovers that a real estate agent has been referring clients to the MLO in exchange for cash payments should:

✓ **A) Continue accepting referrals as long as no one complains**

Cash payments for referrals violate RESPA Section 8 (anti-kickback) and are illegal. When an MLO discovers such an arrangement, they must immediately cease participating and report the violation to their compliance/legal team. Continuing the arrangement — even if reduced — exposes the MLO to criminal liability, license revocation, and civil penalties.

109. Which of the following is an example of a DECEPTIVE act under UDAAP?

✓ **D) Collecting escrow for property taxes**

Advertising 'No Closing Costs' when the closing costs are simply rolled into a higher interest rate is deceptive — it creates a false impression about the nature of the transaction. A consumer who cannot reasonably avoid being misled has been deceived. Full disclosure on the LE, legitimate credit decisions, and escrow collection are not deceptive.

110. 'Appraisal fraud' in mortgage lending includes which of the following?

✓ **C) Requiring title insurance**

Appraisal fraud includes pressuring appraisers to hit a target value, selecting a pre-selected compliant appraiser, using inflated comparable sales, or presenting false information about the property to the appraiser. Selecting the highest appraisal from multiple ordered appraisals ('appraisal shopping') to support a desired value is a form of appraisal fraud and an AIR violation.

111. An MLO who receives a gift from a title company in exchange for referring all their loans to that title company is:

✓ **B) Violating RESPA's anti-kickback provisions regardless of gift amount**

RESPA Section 8 prohibits giving or receiving anything of value in exchange for referrals of settlement service business. There is NO dollar threshold — even a \$10 gift given in exchange for referrals violates RESPA. 'Normal industry customs' is not a RESPA defense. The prohibition applies regardless of whether the customer is harmed or complains.

112. An act is considered 'ABUSIVE' under UDAAP when it:

✓ **A) Results in higher fees than competitors**

An abusive act under Dodd-Frank: (1) materially interferes with a consumer's ability to understand a term/condition, (2) takes unreasonable advantage of their lack of understanding, (3) takes unreasonable advantage of their inability to protect their own interests, or (4) takes unreasonable advantage of their reasonable reliance on the covered person. It is narrower and more specific than 'unfair' or 'deceptive.'

113. Which of the following is an example of 'income fraud' on a mortgage application?

✓ **D) Grossing up non-taxable income by 125%**

Income fraud involves misrepresenting income — inflating wages, fabricating employment, altering pay stubs, or stating false figures on the 1003 — to qualify for a loan the borrower otherwise could not obtain. This is a federal crime under multiple statutes including 18 USC 1014 (false statements to a federally insured institution). The other options are legitimate underwriting methods.

114. An MLO has a financial interest in a title company that they regularly recommend to borrowers. Under RESPA, the MLO must:

✓ **C) Simply mention the connection verbally**

RESPA Section 8(c) permits affiliated business arrangements (where an MLO has an ownership interest in a settlement service provider) if: (1) an Affiliated Business Arrangement (AfBA) disclosure is provided before the referral, (2) the consumer is not required to use the affiliated provider, and (3) the only thing received is a return on ownership interest. Disclosure must be provided, not just verbal mention.

115. Steering a borrower to a higher-cost loan product when they qualify for a lower-cost product, primarily to earn a higher commission, is:

✓ **B) A violation of UDAAP and potentially anti-steering provisions under Regulation Z**

Steering borrowers into loans that are not in their interest — especially to earn higher compensation — violates UDAAP (abusive/unfair) and anti-steering provisions under Regulation Z/TILA. Anti-steering rules prohibit MLOs from directing borrowers to higher-priced loans when they qualify for lower-priced options, primarily for compensation reasons. Loan document signatures do not cure steering violations.

116. Under the SAFE Act, an MLO who takes a residential mortgage loan application or offers/negotiates terms must be:

✓ **A) Employed full-time only**

The SAFE Act requires all individuals who take residential mortgage loan applications or offer or negotiate terms of residential mortgage loans for compensation to be either: (1) state-licensed MLOs (non-bank employees) or (2) registered MLOs (employees of federally regulated depository institutions). Federal registration goes through NMLS; state licensing requires exam, background check, and continuing education.

117. What are the minimum continuing education (CE) requirements for a state-licensed MLO annually?

✓ **D) 4 hours federal law only**

Annual CE for state-licensed MLOs = 8 hours: 3 hours federal law and regulations, 2 hours ethics (fraud, consumer protection, fair lending), 2 hours non-traditional mortgage products, and 1 hour of elective content. State-specific CE may be required in addition to these federal minimums.

118. The pre-licensing education (PE) requirement under the SAFE Act for a new MLO is:

✓ **C) 20 hours (3 federal law, 3 ethics, 2 non-traditional, 12 elective)**

Pre-licensing education requires 20 hours: 3 hours federal law and regulations, 3 hours ethics (fraud, consumer protection, fair lending), 2 hours non-traditional mortgage products, and 12 hours of undefined/elective education (states may add more). This is a one-time requirement before initial licensure.

119. Under the SAFE Act, a state-licensed MLO must pass the NMLS National Test with a score of at least:

✓ **B) 75%**

The NMLS National Test (SAFE MLO Test) requires a minimum passing score of 75%. The test consists of 125 questions (115 scored + 10 unscored pilot questions). If a candidate fails, they must wait 30 days before retaking (30 days after 2nd and 3rd failures); after 3 failures, they must wait 180 days before a 4th attempt.

120. An MLO's NMLS unique identifier must be disclosed on:

✓ **A) Only the Loan Estimate**

The SAFE Act requires MLOs to prominently disclose their NMLS unique identifier on: all loan applications and forms, all advertising and solicitations (print, digital, radio, TV), and websites. This allows consumers and regulators to look up the MLO's licensing status, history, and any disciplinary actions through the NMLS Consumer Access website.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.